

OREGON ACCOUNTING MANUAL

Statewide Policy

NUMBER: 45.25.00

SUBJECT: Payroll: Payroll Advance

EFFECTIVE DATE: 08/07/2026

POLICY OWNER: Office of the State Controller | Oregon Statewide Payroll Services (OSPS)

DIVISION: Chief Financial Office

LAST REVIEWED DATE: 08/07/2026

SUPERSEDES: Policy # 45.25.00 PO and 45.25.00 PR (03/04/2003)

PAGE NUMBER: Page 1 of 4

REFERENCE/AUTHORITY:

- ORS 292.033
- ORS 292.036
- ORS 293.330
- Applicable Collective Bargaining Agreements

APPROVED BY:

Kate Nass, Chief Financial Officer | Approval on File

Statement

This is the state's policy on a payroll advance of earned salary or wages.

Applicability

This policy applies to all state agencies that are subject to the Oregon Accounting Manual (OAM), as outlined in [OAM 01.05.00, Introduction: Scope and Applicability](#). If any provisions of OAM policies or procedures conflict with collective bargaining agreements, the provisions of collective bargaining agreements would supersede OAM guidance.

Forms/Exhibits/Instructions

[75.45.01.FO, Authorized Workday Signatures](#)

[75.45.02.FO, Request for Payroll Advance](#)

Definitions

Payroll advance: A small, one-time early payment of funds already earned within the current pay period. An officer or employee must file a written request for the approval of such advance with the state agency by which the employee is employed. (Referred to as 'regular salary advance' in ORS 292.033)

Refer to [OAM 65.00.00, Glossary](#) for definitions.

Policy

101. A **payroll advance** in Oregon state government is provided to state employees under ORS 292.033 and various collective bargaining agreements as a means to provide employees with access to earned compensation in emergency situations. Providing a payroll advance is administratively costly and will be allowed only in financial emergency situations.
102. A **payroll advance** is limited to a maximum of 60% of gross wages earned to date in a pay period.
103. An emergency situation is defined as an unusual, unforeseen event or unavoidable condition that requires immediate financial resources by the employee. Emergencies include, but are not limited to the following circumstances:
 - a. Death in family necessitating unforeseen expenditures or travel.
 - b. Major car repair such as engine, transmission, or catastrophic failure (not to be confused with minor repairs, maintenance, tires, etc.).
 - c. Theft of cash representing major portion of most recent pay.
 - d. Automobile accident leading to loss of vehicle use.
 - e. Accident or sickness (self or family) requiring immediate substantial cash outlays.
 - f. Destruction or major damage to home requiring immediate substantial cash outlays.
 - g. New employee lack of funds (maximum – 1 draw).

- h. Unreimbursed moving expenses due to transfer or promotion. This does not include personal moving situations such as purchasing a home or renting a different residence.
- 104. Management's responsibility in approving a **payroll advance** should include collecting appropriate documentation and assessment of the request for conformance with emergency situations, labor agreements, and with Oregon law.
- 105. Unless otherwise determined by the agency, it is not the responsibility of agency payroll officers to approve, disapprove, or enforce good management practices and the application of labor agreements with respect to a **payroll Advance**. Payroll officers merely process the approved transaction.
- 106. A **payroll advance** is not to be authorized or issued as short-term loans of state funds for non-emergency purposes. It is management's responsibility to appropriately safeguard state assets balanced against the need for making prudent use of a payroll advance to state employees for legitimate emergency situations authorized by policy or labor agreement.
- 107. A **payroll advance** is prohibited as a method of distributing earned compensation in advance of holidays, vacations, or other notable events.

Procedure

Processing Through an Agency Revolving Fund

- 108. Agencies may issue a **payroll advance** through their revolving fund but must:
 - a. Create internal procedures governing payroll advances in accordance with the policy and applicable collective bargaining agreements.
 - b. Accept and pay requests for payroll advances in accordance with those agency procedures.
 - c. Make the necessary entry in the Workday Payroll System when creating the off-cycle payment to ensure the payroll advance is deducted from the employee's next regular paycheck.

Processing Through the Workday Help Desk

- 109. Agencies who request the Workday Help Desk to prepare a **payroll advance** payment must properly authorize those individuals who are permitted to approve pay requests.
 - a. Provide Workday Help Desk with a completed and signed form [75.45.01.FO, Authorized Workday Signatures](#). An agency administrator must sign the form. The administrator may designate an alternate to approve on their behalf. The designee may authorize and change subordinate signers on subsequent form submissions.

- b. Each time a subordinate signer must be added, deleted, or changed, a new *Authorized Workday Signatures* form is required. The administrator's designee may approve these changes.
- c. A payroll advance will not be issued without a valid *Authorized Workday Signatures* form on file with Workday Help Desk, nor will payment requests be accepted by Workday Help Desk from any person who is not an authorized signer.

110. A **payroll advance** is ordered as follows:

- a. The requesting employee completes and submits to the agency form [75.45.02.FO, Request for Payroll Advance](#), specifying the dollar amount of the requested advance. The employee must sign the request.
- b. The agency must ensure that the dollar amount of the request does not exceed the maximum 60% of wages due as of the date of request taking into consideration any active involuntary withholding orders.
- c. The agency must review the request and verify that the reason for the request is in line with this policy and the provisions of any prevailing collective bargaining agreement.
- d. The request must be signed by the employee's supervisor and approved by an authorized agency signer.
- e. Once approved, the agency will submit a case to the Workday Help Desk. The payroll advance will then be processed and a payment issued as part of the next available daily off-cycle payment run.